economy central bankers have privately expressed their worry to me that QE 'works' primarily by altering exchange rates, which makes it different from QEE only in degree rather than in kind.

The second danger is a mismanaged exit will prompt fresh distortionary behaviour. Even as source country central banks go to great pains to communicate how their removal of accommodation will be contingent on domestic activity, they have been silent on how they will respond to foreign turmoil. Market participants conclude that recipient countries, especially those that do not belong to large reserve currency blocks, are on their own, and crowd devastatingly through the exit.

Indeed, the lesson some emerging markets will take away from the recent episode of turmoil is (i) don't expand domestic demand and run large deficits (ii) maintain a competitive exchange rate (iii) build large reserves, because when trouble comes, you are on your own. In a world with deficient aggregate demand, is this the message the international community wants to send?

For this is not the first episode in which capital has been pushed first in one direction and then in another, each time with devastating effect. In the early 1990s, rates were held low in the United States, and capital flowed to emerging markets. The wave of emerging market crises starting with Mexico in 1994 and ending with Argentina in 2001, sweeping through East Asia and Russia in between, was partially caused by a reversal of these flows as interest rates rose in industrial countries. The subsequent reserve build-up in emerging markets, including China, contributed to weak global demand and excess spending by some industrial countries, culminating in the global financial crisis of 2007-09. Once again, though, post-crisis unconventional monetary policy has pushed capital to emerging markets, with the associated build-up in fragility. Are we setting the